



# **Cambridge IGCSE™**

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**ACCOUNTING**

**0452/23**

Paper 2

**October/November 2022**

**MARK SCHEME**

Maximum Mark: 100

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| <p><b>Published</b></p> |
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This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2022 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

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This document consists of **18** printed pages.

**PUBLISHED****Generic Marking Principles**

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptors for a question. Each question paper and mark scheme will also comply with these marking principles.

**GENERIC MARKING PRINCIPLE 1:**

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

**GENERIC MARKING PRINCIPLE 2:**

Marks awarded are always **whole marks** (not half marks, or other fractions).

**GENERIC MARKING PRINCIPLE 3:**

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

**GENERIC MARKING PRINCIPLE 4:**

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

**GENERIC MARKING PRINCIPLE 5:**

Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen).

**GENERIC MARKING PRINCIPLE 6:**

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

**PUBLISHED****Social Science-Specific Marking Principles  
(for point-based marking)****1 Components using point-based marking:**

- Point marking is often used to reward knowledge, understanding and application of skills. We give credit where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. We do not give credit where the answer shows confusion.

From this it follows that we:

- a** DO credit answers which are worded differently from the mark scheme if they clearly convey the same meaning (unless the mark scheme requires a specific term)
- b** DO credit alternative answers/examples which are not written in the mark scheme if they are correct
- c** DO credit answers where candidates give more than one correct answer in one prompt/numbered/scaffolded space where extended writing is required rather than list-type answers. For example, questions that require *n* reasons (e.g. State two reasons ...).
- d** DO NOT credit answers simply for using a 'key term' unless that is all that is required. (Check for evidence it is understood and not used wrongly.)
- e** DO NOT credit answers which are obviously self-contradicting or trying to cover all possibilities
- f** DO NOT give further credit for what is effectively repetition of a correct point already credited unless the language itself is being tested. This applies equally to 'mirror statements' (i.e. polluted/not polluted).
- g** DO NOT require spellings to be correct, unless this is part of the test. However spellings of syllabus terms must allow for clear and unambiguous separation from other syllabus terms with which they may be confused (e.g. Corrasion/Corrosion)

**2 Presentation of mark scheme:**

- Slashes (/) or the word 'or' separate alternative ways of making the same point.
- Semi colons (;) bullet points (•) or figures in brackets (1) separate different points.
- Content in the answer column in brackets is for examiner information/context to clarify the marking but is not required to earn the mark (except Accounting syllabuses where they indicate negative numbers).

**3 Calculation questions:**

- The mark scheme will show the steps in the most likely correct method(s), the mark for each step, the correct answer(s) and the mark for each answer
- If working/explanation is considered essential for full credit, this will be indicated in the question paper and in the mark scheme. In all other instances, the correct answer to a calculation should be given full credit, even if no supporting working is shown.
- Where the candidate uses a valid method which is not covered by the mark scheme, award equivalent marks for reaching equivalent stages.
- Where an answer makes use of a candidate's own incorrect figure from previous working, the 'own figure rule' applies: full marks will be given if a correct and complete method is used. Further guidance will be included in the mark scheme where necessary and any exceptions to this general principle will be noted.

**4 Annotation:**

- For point marking, ticks can be used to indicate correct answers and crosses can be used to indicate wrong answers. There is no direct relationship between ticks and marks. Ticks have no defined meaning for levels of response marking.
- For levels of response marking, the level awarded should be annotated on the script.
- Other annotations will be used by examiners as agreed during standardisation, and the meaning will be understood by all examiners who marked that paper.

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| Question                                  | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Marks                |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
|-------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|---------|-----------------|-------------------------------------------|---------|---------|---------------|--|--|-----------------------------------|------------|--|------------------------|------------|------------|--------------------------|-------------|---------|--------------------------|-------------|---------|----------------------------------------|-----------|--|-------------------------|------------------|----------------|---------------------|-----------------|----------------------|---|--|--|--|--|----------------|--|--|--|------|--|--|--|--|--|-------|-------------|----------------|---|
| 1(a)                                      | <div>Anika</div> <div>Income Statement for the year ended 31 August 2022</div> <table><tr><td></td><td>\$</td><td>\$</td></tr><tr><td>Rent receivable (162 000 (1) – 8 100 (1))</td><td></td><td>153 900</td></tr><tr><td>Less Expenses</td><td></td><td></td></tr><tr><td>General expenses (26 500 – 1 300)</td><td>25 200 (1)</td><td></td></tr><tr><td>Rates (38 200 + 3 400)</td><td>41 600 (1)</td><td></td></tr><tr><td>Insurance (12 400 – 360)</td><td>12 040 (1)</td><td></td></tr><tr><td>Repairs (32 000 – 9 000)</td><td>23 000 (1)</td><td></td></tr><tr><td>Depreciation – Premises (418 000 / 50)</td><td>8 360 (1)</td><td></td></tr><tr><td>Fittings (28 000 × 20%)</td><td><u>5 600 (1)</u></td><td><u>115 800</u></td></tr><tr><td>Profit for the year</td><td></td><td><u>38 100 (1) OF</u></td></tr></table> |                      | \$      | \$              | Rent receivable (162 000 (1) – 8 100 (1)) |         | 153 900 | Less Expenses |  |  | General expenses (26 500 – 1 300) | 25 200 (1) |  | Rates (38 200 + 3 400) | 41 600 (1) |            | Insurance (12 400 – 360) | 12 040 (1)  |         | Repairs (32 000 – 9 000) | 23 000 (1)  |         | Depreciation – Premises (418 000 / 50) | 8 360 (1) |  | Fittings (28 000 × 20%) | <u>5 600 (1)</u> | <u>115 800</u> | Profit for the year |                 | <u>38 100 (1) OF</u> | 9 |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
|                                           | \$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | \$                   |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Rent receivable (162 000 (1) – 8 100 (1)) |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 153 900              |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Less Expenses                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                      |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| General expenses (26 500 – 1 300)         | 25 200 (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                      |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Rates (38 200 + 3 400)                    | 41 600 (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                      |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Insurance (12 400 – 360)                  | 12 040 (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                      |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Repairs (32 000 – 9 000)                  | 23 000 (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                      |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Depreciation – Premises (418 000 / 50)    | 8 360 (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                      |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Fittings (28 000 × 20%)                   | <u>5 600 (1)</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>115 800</u>       |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Profit for the year                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <u>38 100 (1) OF</u> |         |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| 1(b)                                      | <div>Anika</div> <div>Capital account</div> <table><tr><td>Date</td><td>Details</td><td>\$</td><td>Date</td><td>Details</td><td>\$</td></tr><tr><td>2022</td><td></td><td></td><td>2021</td><td></td><td></td></tr><tr><td>Aug 31</td><td>Drawings</td><td>18 500 (1)</td><td>Sep 1</td><td>Balance b/d</td><td>400 000</td></tr><tr><td></td><td>Balance c/d</td><td>419 600</td><td>2022</td><td></td><td></td></tr><tr><td></td><td></td><td><u>438 100</u></td><td>Aug 31</td><td>Profit for year</td><td><u>38 100 (1) OF</u></td></tr><tr><td></td><td></td><td></td><td></td><td></td><td><u>438 100</u></td></tr><tr><td></td><td></td><td></td><td>2022</td><td></td><td></td></tr><tr><td></td><td></td><td></td><td>Sep 1</td><td>Balance b/d</td><td>419 600 (1) OF</td></tr></table>                                 | Date                 | Details | \$              | Date                                      | Details | \$      | 2022          |  |  | 2021                              |            |  | Aug 31                 | Drawings   | 18 500 (1) | Sep 1                    | Balance b/d | 400 000 |                          | Balance c/d | 419 600 | 2022                                   |           |  |                         |                  | <u>438 100</u> | Aug 31              | Profit for year | <u>38 100 (1) OF</u> |   |  |  |  |  | <u>438 100</u> |  |  |  | 2022 |  |  |  |  |  | Sep 1 | Balance b/d | 419 600 (1) OF | 3 |
| Date                                      | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | \$                   | Date    | Details         | \$                                        |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| 2022                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                      | 2021    |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
| Aug 31                                    | Drawings                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 18 500 (1)           | Sep 1   | Balance b/d     | 400 000                                   |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
|                                           | Balance c/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 419 600              | 2022    |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
|                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <u>438 100</u>       | Aug 31  | Profit for year | <u>38 100 (1) OF</u>                      |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
|                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                      |         |                 | <u>438 100</u>                            |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
|                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                      | 2022    |                 |                                           |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |
|                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                      | Sep 1   | Balance b/d     | 419 600 (1) OF                            |         |         |               |  |  |                                   |            |  |                        |            |            |                          |             |         |                          |             |         |                                        |           |  |                         |                  |                |                     |                 |                      |   |  |  |  |  |                |  |  |  |      |  |  |  |  |  |       |             |                |   |

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| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Marks    |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 1(c)     | <p><b>Using own capital</b><br/> Consistent profit each year which is greater than 3% interest on savings <b>(1)</b><br/> More capital will be at risk <b>(1)</b><br/> Need to consider if additional capital provides a similar/greater return <b>(1)</b><br/> If there is no demand for additional property in the area the return on her investment will fall <b>(1)</b><br/> Would still be entitled to the whole profit <b>(1)</b><br/> Would maintain control/no need to consult on decision-making <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Forming a partnership with Janos</b><br/> Janos' skills may be useful in the business <b>(1)</b><br/> Janos would introduce additional capital <b>(1)</b><br/> Profit would be shared with Janos <b>(1)</b><br/> Risks would be shared with Janos <b>(1)</b><br/> Responsibilities would be shared with Janos <b>(1)</b><br/> Disagreements may arise <b>(1)</b><br/> Personal savings can be maintained/additional funds not at risk in the business <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Recommendation (1)</b></p> | <b>5</b> |
| 1(d)     | <p>Capital expenditure is money spent on non-current assets: revenue expenditure is money spent on day-to day expenses <b>(1)</b><br/> Capital expenditure lasts more than 12 months: revenue expenditure is used up in less than 12 months <b>(1)</b><br/> <b>Max (1)</b></p> <p>Importance of correct classification<br/> Including capital expenditure in income statement      Profit for year understated <b>(1)</b><br/> Including revenue expenditure in statement of financial position      Profit for year overstated <b>(1)</b><br/> Including capital expenditure in income statement      Non-current assets understated <b>(1)</b><br/> Including revenue expenditure in statement of financial position      Non-current assets overstated <b>(1)</b><br/> <b>Max (2)</b></p>                                                                                                                                                                                                                                                                                                                                                             | <b>3</b> |

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| Question                | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Marks                   |                     |              |                     |                |                          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|-------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|---------------------|--------------|---------------------|----------------|--------------------------|----------------|--------------------------|-----|----------------|------|--|--|--|--|--|--|---|-----------|----|----|--|--|-----|--|---|---------|----|--|--|--|--------|--|----|----------------|----|--|----|--|-----|--|----|-------|----|--|--|--|--------|--|----|----------|---|---|--|--|-----|--|----|---------|-----------|--|--|-----------|-----|--|--|--|----|-----------|-----------|-----------|-----------------|--|----|-------------|-----------|--|--|--|--|------------|--|--|------------|--|--|--|--|---------|-------|-------------|--|--|--|--|--|-------|--|-----------|--|--|--|--|--|---|
| 2(a)                    | <p>Reduces number of entries in main cash book <b>(1)</b></p> <p>Reduces the number of entries in ledger accounts <b>(1)</b></p> <p>Allows chief cashier to delegate work/enables him/her to concentrate on more important tasks <b>(1)</b></p> <p>Can provide training for junior employee <b>(1)</b></p> <p><b>Accept other valid points</b></p> <p><b>Max (2)</b></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 2                       |                     |              |                     |                |                          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
| 2(b)                    | <p style="text-align: center;">Rasheed – Petty Cash Book</p> <table><tr><th>Total<br/>Received<br/>\$</th><th>Date</th><th>Details</th><th>Total<br/>Paid<br/>\$</th><th>Travel<br/>\$</th><th>Postage<br/>\$</th><th>Cleaning<br/>\$</th><th>Ledger<br/>accounts<br/>\$</th></tr><tr><td>100</td><td>2022<br/>Sept 1</td><td>Cash</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td>2</td><td>Taxi fare</td><td>12</td><td>12</td><td></td><td></td><td>(1)</td></tr><tr><td></td><td>7</td><td>Crystal</td><td>16</td><td></td><td></td><td></td><td>16 (1)</td></tr><tr><td></td><td>13</td><td>Postage stamps</td><td>10</td><td></td><td>10</td><td></td><td>(1)</td></tr><tr><td></td><td>18</td><td>Kalpa</td><td>15</td><td></td><td></td><td></td><td>15 (1)</td></tr><tr><td></td><td>25</td><td>Bus fare</td><td>5</td><td>5</td><td></td><td></td><td>(1)</td></tr><tr><td></td><td>29</td><td>Cleaner</td><td><u>28</u></td><td></td><td></td><td><u>28</u></td><td>(1)</td></tr><tr><td></td><td></td><td></td><td>86</td><td><u>17</u></td><td><u>10</u></td><td><u>28</u></td><td><u>31</u> (1)OF</td></tr><tr><td></td><td>30</td><td>Balance c/d</td><td><u>14</u></td><td></td><td></td><td></td><td></td></tr><tr><td><u>100</u></td><td></td><td></td><td><u>100</u></td><td></td><td></td><td></td><td></td></tr><tr><td>14}(1)*</td><td>Oct 1</td><td>Balance b/d</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>86}OF</td><td></td><td>Cash/Bank</td><td></td><td></td><td></td><td></td><td></td></tr></table> <p><b>* For both balance and restoration OF</b></p> | Total<br>Received<br>\$ | Date                | Details      | Total<br>Paid<br>\$ | Travel<br>\$   | Postage<br>\$            | Cleaning<br>\$ | Ledger<br>accounts<br>\$ | 100 | 2022<br>Sept 1 | Cash |  |  |  |  |  |  | 2 | Taxi fare | 12 | 12 |  |  | (1) |  | 7 | Crystal | 16 |  |  |  | 16 (1) |  | 13 | Postage stamps | 10 |  | 10 |  | (1) |  | 18 | Kalpa | 15 |  |  |  | 15 (1) |  | 25 | Bus fare | 5 | 5 |  |  | (1) |  | 29 | Cleaner | <u>28</u> |  |  | <u>28</u> | (1) |  |  |  | 86 | <u>17</u> | <u>10</u> | <u>28</u> | <u>31</u> (1)OF |  | 30 | Balance c/d | <u>14</u> |  |  |  |  | <u>100</u> |  |  | <u>100</u> |  |  |  |  | 14}(1)* | Oct 1 | Balance b/d |  |  |  |  |  | 86}OF |  | Cash/Bank |  |  |  |  |  | 8 |
| Total<br>Received<br>\$ | Date                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Details                 | Total<br>Paid<br>\$ | Travel<br>\$ | Postage<br>\$       | Cleaning<br>\$ | Ledger<br>accounts<br>\$ |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
| 100                     | 2022<br>Sept 1                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Cash                    |                     |              |                     |                |                          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         | 2                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Taxi fare               | 12                  | 12           |                     |                | (1)                      |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         | 7                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Crystal                 | 16                  |              |                     |                | 16 (1)                   |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         | 13                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Postage stamps          | 10                  |              | 10                  |                | (1)                      |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         | 18                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Kalpa                   | 15                  |              |                     |                | 15 (1)                   |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         | 25                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Bus fare                | 5                   | 5            |                     |                | (1)                      |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         | 29                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Cleaner                 | <u>28</u>           |              |                     | <u>28</u>      | (1)                      |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                         | 86                  | <u>17</u>    | <u>10</u>           | <u>28</u>      | <u>31</u> (1)OF          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
|                         | 30                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Balance c/d             | <u>14</u>           |              |                     |                |                          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
| <u>100</u>              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                         | <u>100</u>          |              |                     |                |                          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
| 14}(1)*                 | Oct 1                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Balance b/d             |                     |              |                     |                |                          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |
| 86}OF                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Cash/Bank               |                     |              |                     |                |                          |                |                          |     |                |      |  |  |  |  |  |  |   |           |    |    |  |  |     |  |   |         |    |  |  |  |        |  |    |                |    |  |    |  |     |  |    |       |    |  |  |  |        |  |    |          |   |   |  |  |     |  |    |         |           |  |  |           |     |  |  |  |    |           |           |           |                 |  |    |             |           |  |  |  |  |            |  |  |            |  |  |  |  |         |       |             |  |  |  |  |  |       |  |           |  |  |  |  |  |   |



| Question               | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                               |              |     |                        |                        |              |  | Marks                  |                             |             |     |                        |                        |             |                       |                       |              |     |              |         |              |       |             |       |     |  |  |  |   |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|-----|------------------------|------------------------|--------------|--|------------------------|-----------------------------|-------------|-----|------------------------|------------------------|-------------|-----------------------|-----------------------|--------------|-----|--------------|---------|--------------|-------|-------------|-------|-----|--|--|--|---|
| 2(c)                   | <div><div>Rasheed Postages account</div><table><tr><td>Date<br/>2022<br/>Sep 30</td><td>Details<br/>Petty cash</td><td>\$<br/>10</td><td>(1)</td><td>Date<br/>2022</td><td>Details</td><td>\$</td></tr></table><div>Purchases ledger Crystal account</div><table><tr><td>Date<br/>2022<br/>Sep 7</td><td>Details<br/>Petty cash</td><td>\$<br/>16</td><td>(1)</td><td>Date<br/>2022</td><td>Details</td><td>\$</td></tr></table><div>OR Sep 30</div></div>           |              |     |                        |                        |              |  | Date<br>2022<br>Sep 30 | Details<br>Petty cash       | \$<br>10    | (1) | Date<br>2022           | Details                | \$          | Date<br>2022<br>Sep 7 | Details<br>Petty cash | \$<br>16     | (1) | Date<br>2022 | Details | \$           | 2     |             |       |     |  |  |  |   |
| Date<br>2022<br>Sep 30 | Details<br>Petty cash                                                                                                                                                                                                                                                                                                                                                                                                                                                | \$<br>10     | (1) | Date<br>2022           | Details                | \$           |  |                        |                             |             |     |                        |                        |             |                       |                       |              |     |              |         |              |       |             |       |     |  |  |  |   |
| Date<br>2022<br>Sep 7  | Details<br>Petty cash                                                                                                                                                                                                                                                                                                                                                                                                                                                | \$<br>16     | (1) | Date<br>2022           | Details                | \$           |  |                        |                             |             |     |                        |                        |             |                       |                       |              |     |              |         |              |       |             |       |     |  |  |  |   |
| 2(d)                   | <div><div>Rasheed Inventory account</div><table><tr><td>Date<br/>2022<br/>Sep 30</td><td>Details<br/>Income statement</td><td>\$<br/>8 600</td><td>(1)</td><td>Date<br/>2022<br/>Sep 30</td><td>Details<br/>Balance c/d</td><td>\$<br/>8 600</td></tr><tr><td></td><td></td><td><u>8 600</u></td><td></td><td></td><td></td><td><u>8 600</u></td></tr><tr><td>Oct 1</td><td>Balance b/d</td><td>8 600</td><td>(1)</td><td></td><td></td><td></td></tr></table></div> |              |     |                        |                        |              |  | Date<br>2022<br>Sep 30 | Details<br>Income statement | \$<br>8 600 | (1) | Date<br>2022<br>Sep 30 | Details<br>Balance c/d | \$<br>8 600 |                       |                       | <u>8 600</u> |     |              |         | <u>8 600</u> | Oct 1 | Balance b/d | 8 600 | (1) |  |  |  | 2 |
| Date<br>2022<br>Sep 30 | Details<br>Income statement                                                                                                                                                                                                                                                                                                                                                                                                                                          | \$<br>8 600  | (1) | Date<br>2022<br>Sep 30 | Details<br>Balance c/d | \$<br>8 600  |  |                        |                             |             |     |                        |                        |             |                       |                       |              |     |              |         |              |       |             |       |     |  |  |  |   |
|                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <u>8 600</u> |     |                        |                        | <u>8 600</u> |  |                        |                             |             |     |                        |                        |             |                       |                       |              |     |              |         |              |       |             |       |     |  |  |  |   |
| Oct 1                  | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 8 600        | (1) |                        |                        |              |  |                        |                             |             |     |                        |                        |             |                       |                       |              |     |              |         |              |       |             |       |     |  |  |  |   |

**PUBLISHED**

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Marks    |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 2(e)     | <p>Must compare with business in same trade (1)<br/>Businesses in different trades will have different profit margins, types of assets and expenses etc. (1)</p> <p>Must compare with a business of approximately the same size /same amount of capital (1)<br/>Size of business can affect purchasing power, amount and type of non-current assets etc. (1)</p> <p>Must compare with same type of business organisation (1)<br/>Must compare with a sole trader business as a company and a partnership may have different types of costs and have to appropriate the profit between owners (1)</p> <p>Financial statements will not contain non-monetary items (1)<br/>Factors such as goodwill, location, skill of workforce, staff morale etc. are not disclosed (1)</p> <p>Only a limited amount of information will be available/may be difficult to obtain information about other businesses (1)<br/>The age of non-current assets, average inventory, future plans, budgets, etc. are not available (1)</p> <p>Businesses may use different accounting policies (1)<br/>Different methods of depreciation may be used which affect profits and value of non-current assets (1)</p> <p>Businesses may use different operating policies (1)<br/>Renting/owning premises, using funds from loans/capital, selling on credit/ cash affect the business performance (1)</p> <p>Financial years may end on different dates (1)<br/>One business may have year-end when inventory is low/high which affect profit calculations and assets (1)</p> <p>Should compare with business which has been established for approximately same amount of time (1)<br/>Longer-established businesses have had time to build up goodwill and no more start-up costs (1)</p> <p><b>Up to (2) each for any 3 aspects of problems of comparison.</b></p> | <b>6</b> |

**PUBLISHED**

| Question                      | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Marks              |         |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|---------|-------------------------------|------------------|--------------------|---------|-------------------|-----------|-------------------------------|-------|---|--|------|--|--|--|-------|-------------|-------|-----|--------|------|-----|-----|------|--|--|--|--|------------------|--------|--------|--------|------|--------|-----|--|-------------|-----|--|--|--|--------|--|--|--|--------|--|-------|-------------|-----|----|--|--|--|--|------|---------|----|--|------|---------|----|--|------|--|--|--|------|--|--|--|-------|-------------|-----|-----|--------|------|-------|-----|------|--|--|--|--|-------------|-----|--|--------|------------------|-------|--------|--|--|--|--|--|--|-------|--|--|--|-------|--|-------|-------------|-----|--------|--|--|--|--|---|
| 3(a)                          | <div><div><div>RB</div><div>Insurance account</div><table><thead><tr><th>Date</th><th>Details</th><th>\$</th><th></th><th>Date</th><th>Details</th><th>\$</th><th></th></tr></thead><tbody><tr><td>2021</td><td></td><td></td><td></td><td>2022</td><td></td><td></td><td></td></tr><tr><td>Apr 1</td><td>Balance b/d</td><td>2 500</td><td>(1)</td><td>Mar 31</td><td>Bank</td><td>600</td><td>(1)</td></tr><tr><td>2022</td><td></td><td></td><td></td><td></td><td>Income statement</td><td>16 350</td><td>(1) OF</td></tr><tr><td>Mar 31</td><td>Bank</td><td>15 300</td><td>(1)</td><td></td><td>Balance c/d</td><td>850</td><td></td></tr><tr><td></td><td></td><td>17 800</td><td></td><td></td><td></td><td>17 800</td><td></td></tr><tr><td>Apr 1</td><td>Balance b/d</td><td>850</td><td>**</td><td></td><td></td><td></td><td></td></tr></tbody></table></div><div><div>Commission receivable account</div><table><thead><tr><th>Date</th><th>Details</th><th>\$</th><th></th><th>Date</th><th>Details</th><th>\$</th><th></th></tr></thead><tbody><tr><td>2021</td><td></td><td></td><td></td><td>2022</td><td></td><td></td><td></td></tr><tr><td>Apr 1</td><td>Balance b/d</td><td>700</td><td>(1)</td><td>Mar 31</td><td>Bank</td><td>7 200</td><td>(1)</td></tr><tr><td>2022</td><td></td><td></td><td></td><td></td><td>Balance c/d</td><td>630</td><td></td></tr><tr><td>Mar 31</td><td>Income statement</td><td>7 130</td><td>(1) OF</td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td>7 830</td><td></td><td></td><td></td><td>7 830</td><td></td></tr><tr><td>Apr 1</td><td>Balance b/d</td><td>630</td><td>** (1)</td><td></td><td></td><td></td><td></td></tr></tbody></table></div><div>For both</div></div> | Date               | Details | \$                            |                  | Date               | Details | \$                |           | 2021                          |       |   |  | 2022 |  |  |  | Apr 1 | Balance b/d | 2 500 | (1) | Mar 31 | Bank | 600 | (1) | 2022 |  |  |  |  | Income statement | 16 350 | (1) OF | Mar 31 | Bank | 15 300 | (1) |  | Balance c/d | 850 |  |  |  | 17 800 |  |  |  | 17 800 |  | Apr 1 | Balance b/d | 850 | ** |  |  |  |  | Date | Details | \$ |  | Date | Details | \$ |  | 2021 |  |  |  | 2022 |  |  |  | Apr 1 | Balance b/d | 700 | (1) | Mar 31 | Bank | 7 200 | (1) | 2022 |  |  |  |  | Balance c/d | 630 |  | Mar 31 | Income statement | 7 130 | (1) OF |  |  |  |  |  |  | 7 830 |  |  |  | 7 830 |  | Apr 1 | Balance b/d | 630 | ** (1) |  |  |  |  | 8 |
| Date                          | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | \$                 |         | Date                          | Details          | \$                 |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| 2021                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                    |         | 2022                          |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Apr 1                         | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2 500              | (1)     | Mar 31                        | Bank             | 600                | (1)     |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| 2022                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                    |         |                               | Income statement | 16 350             | (1) OF  |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Mar 31                        | Bank                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 15 300             | (1)     |                               | Balance c/d      | 850                |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
|                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 17 800             |         |                               |                  | 17 800             |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Apr 1                         | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 850                | **      |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Date                          | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | \$                 |         | Date                          | Details          | \$                 |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| 2021                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                    |         | 2022                          |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Apr 1                         | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 700                | (1)     | Mar 31                        | Bank             | 7 200              | (1)     |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| 2022                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                    |         |                               | Balance c/d      | 630                |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Mar 31                        | Income statement                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 7 130              | (1) OF  |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
|                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 7 830              |         |                               |                  | 7 830              |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Apr 1                         | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 630                | ** (1)  |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| 3(b)                          | <div><div>RB</div><div>Extract from Statement of financial position at 31 March 2022</div><table><tbody><tr><td>Current assets (1)</td><td>\$</td></tr><tr><td>Other receivables (850 + 630)</td><td>1480 (1)</td></tr></tbody></table><div>OR</div><table><tbody><tr><td>Current assets (1)</td><td></td></tr><tr><td>Insurance prepaid</td><td>850 } (1)</td></tr><tr><td>Commission receivable accrued</td><td>630 }</td></tr></tbody></table></div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Current assets (1) | \$      | Other receivables (850 + 630) | 1480 (1)         | Current assets (1) |         | Insurance prepaid | 850 } (1) | Commission receivable accrued | 630 } | 2 |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Current assets (1)            | \$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                    |         |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Other receivables (850 + 630) | 1480 (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                    |         |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Current assets (1)            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                    |         |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Insurance prepaid             | 850 } (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                    |         |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| Commission receivable accrued | 630 }                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                    |         |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |
| 3(c)                          | <div>Ensures the correct amount of revenue and expenses for the period are entered in the income statement (1)</div> <div>Ensures that the revenue and expenses are not under or over -stated (1)</div> <div>Ensures that the profit for the year is correctly calculated/is not over or under-stated (1)</div> <div>Ensures that profitability ratios can be relied upon/more accurate decision-making (1)</div> <div>Max (3)</div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 3                  |         |                               |                  |                    |         |                   |           |                               |       |   |  |      |  |  |  |       |             |       |     |        |      |     |     |      |  |  |  |  |                  |        |        |        |      |        |     |  |             |     |  |  |  |        |  |  |  |        |  |       |             |     |    |  |  |  |  |      |         |    |  |      |         |    |  |      |  |  |  |      |  |  |  |       |             |     |     |        |      |       |     |      |  |  |  |  |             |     |  |        |                  |       |        |  |  |  |  |  |  |       |  |  |  |       |  |       |             |     |        |  |  |  |  |   |

| Question            | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Marks        |              |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|--------------|----------|-----------|--------------|--|--|--------------|---------------------|--|--------------|--|--|----------|----------|-----------|--------------|--|--|--------------|---------------------|--------------|--|--|----------|
| 3(d)(i)             | $\$3000 \times 25\% = \$750$ <b>(1)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | <b>1</b>     |              |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
| 3(d)(ii)            | $\$2250 \times 2\% = \$45$ <b>(1)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <b>1</b>     |              |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
| 3(d)(iii)           | $(\$3000 - \$750) = \$2250$<br>$\$2250 - \$45 = \$2205$ <b>(1) OF</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <b>1</b>     |              |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
| 3(e)                | <div>Discount allowed</div> <table><tr><td></td><td>increase</td><td>decrease</td><td>no effect</td></tr><tr><td>gross profit</td><td></td><td></td><td>✓ <b>(1)</b></td></tr><tr><td>profit for the year</td><td></td><td>✓ <b>(1)</b></td><td></td></tr></table> <div>Discount received</div> <table><tr><td></td><td>increase</td><td>decrease</td><td>no effect</td></tr><tr><td>gross profit</td><td></td><td></td><td>✓ <b>(1)</b></td></tr><tr><td>profit for the year</td><td>✓ <b>(1)</b></td><td></td><td></td></tr></table> |              | increase     | decrease | no effect | gross profit |  |  | ✓ <b>(1)</b> | profit for the year |  | ✓ <b>(1)</b> |  |  | increase | decrease | no effect | gross profit |  |  | ✓ <b>(1)</b> | profit for the year | ✓ <b>(1)</b> |  |  | <b>4</b> |
|                     | increase                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | decrease     | no effect    |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
| gross profit        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |              | ✓ <b>(1)</b> |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
| profit for the year |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | ✓ <b>(1)</b> |              |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
|                     | increase                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | decrease     | no effect    |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
| gross profit        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |              | ✓ <b>(1)</b> |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |
| profit for the year | ✓ <b>(1)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |              |              |          |           |              |  |  |              |                     |  |              |  |  |          |          |           |              |  |  |              |                     |              |  |  |          |

| Question | Answer                                                                                                                                           |                     |                       |                         |              | Marks                 |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------|-------------------------|--------------|-----------------------|
| 4(a)     | <p style="text-align: center;">C Limited</p> <p style="text-align: center;">Statement of Changes in Equity for the year ended 31 August 2022</p> |                     |                       |                         |              | <b>7</b>              |
|          | Details                                                                                                                                          | Share Capital<br>\$ | General reserve<br>\$ | Retained earnings<br>\$ | Total<br>\$  |                       |
|          | On 1 September 2021                                                                                                                              | 240 000             | 36 000                | 22 000                  | 298 000      |                       |
|          | Profit for the year                                                                                                                              |                     |                       | 20 000                  | 20 000       |                       |
|          | Dividend paid (final)                                                                                                                            |                     |                       | (12 000)                | (12 000)     |                       |
|          | Dividend paid (interim)                                                                                                                          |                     |                       | (9 600)(1)              | (9 600)(1)OF |                       |
|          | Transfer to general reserve                                                                                                                      |                     | 11 000                | (11 000)                |              |                       |
|          | On 31 August 2022                                                                                                                                | 240 000             | 47 000                | 9 400                   | 296 400      | (1) row<br>(1) OF row |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Marks |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| 4(b)     | $\frac{23\,000\text{ (1)}}{296\,400\text{ (1) OF} + 60\,000\text{ (1)}} \times \frac{100}{1} = 6.45\% \text{ (1) OF}$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 4     |
| 4(c)(i)  | $\frac{20\,000}{310\,000} \times \frac{100}{1} \text{ (1) whole formula} = 6.45\% \text{ (1) OF}$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 2     |
| 4(c)(ii) | Increase the gross margin (1)<br>Reduce expenses (1)<br>Increase other income (1)<br><b>Max (2)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2     |
| 4(d)     | <p><b>Option 1 – issue debentures</b><br/> Annual interest will have to be paid (1)<br/> Interest has to be paid irrespective of profit (1)<br/> Are a long term liability/must be repaid (1)<br/> Are paid before ordinary shareholders in event of winding up (1)<br/> Debenture holders are not members of the company (1)<br/> Debenture holders may require security/have claim on non-current assets in case of non-repayment (1)<br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Option 2 – issue additional ordinary shares</b><br/> Have to consider if all the extra shares can be sold (1)<br/> Shareholders will expect to receive a dividend (1)<br/> Share dividend is not fixed and may depend on the level of profits (1)<br/> Last to be paid in event of winding up (1)<br/> May dilute current shareholders control / Carry same voting rights as existing shareholders (1)<br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Recommendation (1)</b></p> | 5     |

| Question                                   | Answer                                                                                                                                                                                                                                                                                                                                                                                                                            | Marks   |         |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
|--------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|---------|----------------------------------|-----------|--------------------------------------------|-----------|----|----|-------|---------------------|---------|--|--|----|--|---------|--|------------------------------------------|--|--|---|
| 5(a)                                       | <div>NT</div> <div>General Journal</div> <table><thead><tr><th>Date</th><th>Details</th><th>Debit</th><th>Credit</th></tr><tr><th></th><th></th><th>\$</th><th>\$</th></tr></thead><tbody><tr><td>May 5</td><td>Irrecoverable debts</td><td>600 (1)</td><td></td></tr><tr><td></td><td>LW</td><td></td><td>600 (1)</td></tr><tr><td></td><td>Account written off as irrecoverable (1)</td><td></td><td></td></tr></tbody></table> | Date    | Details | Debit                            | Credit    |                                            |           | \$ | \$ | May 5 | Irrecoverable debts | 600 (1) |  |  | LW |  | 600 (1) |  | Account written off as irrecoverable (1) |  |  | 3 |
| Date                                       | Details                                                                                                                                                                                                                                                                                                                                                                                                                           | Debit   | Credit  |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
|                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                   | \$      | \$      |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
| May 5                                      | Irrecoverable debts                                                                                                                                                                                                                                                                                                                                                                                                               | 600 (1) |         |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
|                                            | LW                                                                                                                                                                                                                                                                                                                                                                                                                                |         | 600 (1) |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
|                                            | Account written off as irrecoverable (1)                                                                                                                                                                                                                                                                                                                                                                                          |         |         |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
| 5(b)                                       | <div>NT</div> <div>Extract from income statement for the year ended 31 August 2021</div> <table><thead><tr><th></th><th>\$</th></tr></thead><tbody><tr><td>Irrecoverable debts (600 + 4100)</td><td>4 700 (1)</td></tr><tr><td>Provision for doubtful debts (91 500 × 5%)</td><td>4 575 (1)</td></tr></tbody></table>                                                                                                             |         | \$      | Irrecoverable debts (600 + 4100) | 4 700 (1) | Provision for doubtful debts (91 500 × 5%) | 4 575 (1) | 2  |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
|                                            | \$                                                                                                                                                                                                                                                                                                                                                                                                                                |         |         |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
| Irrecoverable debts (600 + 4100)           | 4 700 (1)                                                                                                                                                                                                                                                                                                                                                                                                                         |         |         |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |
| Provision for doubtful debts (91 500 × 5%) | 4 575 (1)                                                                                                                                                                                                                                                                                                                                                                                                                         |         |         |                                  |           |                                            |           |    |    |       |                     |         |  |  |    |  |         |  |                                          |  |  |   |

| Question                          | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Marks            |    |  |                   |        |  |                                   |       |  |  |        |  |          |
|-----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|----|--|-------------------|--------|--|-----------------------------------|-------|--|--|--------|--|----------|
| 5(c)                              | <p style="text-align: center;">NT</p> <p style="text-align: center;">Extract from statement of financial position at 31 August 2021</p> <table style="width: 100%; border-collapse: collapse;"> <tr> <td style="width: 50%;">Current assets**</td><td style="width: 10%; text-align: right;">\$</td><td style="width: 40%;"></td></tr> <tr> <td>Trade receivables</td><td style="text-align: right;">91 500</td><td></td></tr> <tr> <td>Less Provision for doubtful debts</td><td style="text-align: right;">4 575</td><td></td></tr> <tr> <td></td><td style="text-align: right; border-top: 1px solid black;">86 925</td><td></td></tr> </table> <p style="text-align: right;"><b>(1) OF</b><br/><b>OF   **(1) For heading + OF total</b></p> | Current assets** | \$ |  | Trade receivables | 91 500 |  | Less Provision for doubtful debts | 4 575 |  |  | 86 925 |  | <b>2</b> |
| Current assets**                  | \$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                  |    |  |                   |        |  |                                   |       |  |  |        |  |          |
| Trade receivables                 | 91 500                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                  |    |  |                   |        |  |                                   |       |  |  |        |  |          |
| Less Provision for doubtful debts | 4 575                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                  |    |  |                   |        |  |                                   |       |  |  |        |  |          |
|                                   | 86 925                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                  |    |  |                   |        |  |                                   |       |  |  |        |  |          |



| Question                             | Answer                            |                                         |               |                                         |                         |                     |                  |               |        |        | Marks |
|--------------------------------------|-----------------------------------|-----------------------------------------|---------------|-----------------------------------------|-------------------------|---------------------|------------------|---------------|--------|--------|-------|
| 5(d)                                 | NT Ledger accounts                |                                         |               |                                         |                         |                     |                  |               |        |        | 8     |
|                                      | PB account                        |                                         |               |                                         |                         |                     |                  |               |        |        |       |
|                                      | Date<br>2022<br>*                 | Details                                 | \$            |                                         | Date<br>2022<br>July 17 | Details             | \$               |               |        |        |       |
|                                      |                                   | Balance b/d                             |               | 7 000                                   |                         | Bank                |                  | 2 500         | } (1)  | }      |       |
|                                      |                                   |                                         |               |                                         |                         | Irrecoverable debts |                  | 4 500         |        |        |       |
|                                      |                                   |                                         |               | <u>7 000</u>                            |                         |                     |                  | <u>7 000</u>  |        |        |       |
|                                      | Irrecoverable debts account       |                                         |               |                                         |                         |                     |                  |               |        |        |       |
|                                      | Date<br>2022<br>July 17<br>Aug 31 | Details                                 | \$            |                                         | Date<br>2022<br>Aug 31  | Details             | \$               |               |        |        |       |
|                                      |                                   | PB                                      |               | 4 500                                   | (1) OF                  |                     | Income statement |               | 12 900 | (1) OF |       |
|                                      |                                   | Trade receivables/<br>debts written off |               | <u>8 400</u>                            |                         |                     |                  |               |        |        |       |
|                                      |                                   |                                         | <u>12 900</u> | (1)                                     |                         |                     |                  | <u>12 900</u> |        |        |       |
| Provision for doubtful debts account |                                   |                                         |               |                                         |                         |                     |                  |               |        |        |       |
| Date<br>2022<br>Aug 31               | Details                           | \$                                      |               | Date<br>2021<br>Sep 1<br>2022<br>Aug 31 | Details                 | \$                  |                  |               |        |        |       |
|                                      | Balance c/d                       |                                         | 5 500         |                                         | Balance b/d             |                     | 4 575            | (1) OF        |        |        |       |
|                                      |                                   |                                         |               |                                         | Income statement        |                     | <u>925</u>       | (1) OF        |        |        |       |
|                                      |                                   |                                         | <u>5 500</u>  |                                         |                         |                     | <u>5 500</u>     |               |        |        |       |
|                                      |                                   |                                         |               | Sep 1                                   | Balance b/d             |                     | 5 500            | (1)           |        |        |       |
| * No specific date specified         |                                   |                                         |               |                                         |                         |                     |                  |               |        |        |       |
| + (1) Dates                          |                                   |                                         |               |                                         |                         |                     |                  |               |        |        |       |

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| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Marks    |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 5(e)     | <p><b>Option 1 – charge interest</b><br/> Customers may go elsewhere/competitors may offer better terms/sales may decrease <b>(1)</b><br/> Customers may not be prepared to pay the interest <b>(1)</b><br/> May damage relationship with customers <b>(1)</b><br/> Customers may pay on time/may be encouraged to pay on time to avoid interest charges <b>(1)</b><br/> Profit/income will be increased because of interest received <b>(1)</b><br/> Increase in administration costs <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Option 2 – stop supplies</b><br/> Overdue balances may never be paid and have to be written off <b>(1)</b><br/> Customers may go elsewhere/ competitors may offer better terms/sales may decrease <b>(1)</b><br/> May damage relationship with customers <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Recommendation (1)</b></p> | <b>5</b> |